Meridian Commercial Bank Ltd.

KYC / AML / CFT Policy Manual

Document ID: MCB-CMP-POL-007 | Version 4.2 | Effective: 1 April 2026 | Owner: Principal Officer

Notice: This is a fictional document generated for training purposes. Thresholds and timelines are illustrative and must not be relied on as regulatory guidance.

1. Purpose, Scope and Governance

Clause 1.1 - Purpose

This Manual sets out the Know Your Customer (KYC), Anti-Money Laundering (AML) and Combating the Financing of Terrorism (CFT) policy of Meridian Commercial Bank Ltd. (the 'Bank'). It applies to all branches, digital channels, business correspondents and outsourced onboarding partners.

Clause 1.2 - Policy Owner

The Principal Officer (PO) is the designated owner of this Manual. The Board-level Audit Committee approves the Manual annually. Interim amendments may be issued by the Chief Compliance Officer (CCO) through numbered Policy Bulletins.

Clause 1.3 - Three Lines of Defence

Business units (first line) perform customer due diligence. Compliance (second line) monitors, advises and files regulatory reports. Internal Audit (third line) independently tests controls at least once every 12 months.

Clause 1.4 - Definitions

'Customer' means a person who maintains an account or has a business relationship with the Bank. 'Beneficial Owner' (BO) means the natural person who ultimately owns or controls a customer or on whose behalf a transaction is conducted. 'Politically Exposed Person' (PEP) means an individual entrusted with a prominent public function in India or abroad, and their family members and close associates.

2. Customer Acceptance Policy

Clause 2.1 - General Principles

No account shall be opened in anonymous or fictitious names. No account shall be opened where the Bank is unable to apply appropriate due diligence because of non-cooperation by the customer or non-reliability of submitted documents.

Clause 2.2 - Prohibited Customers

The Bank shall not onboard (a) individuals or entities appearing on the UN Security Council consolidated sanctions list or the domestic list of designated individuals and entities, (b) shell banks, and (c) entities whose beneficial owner cannot be identified after reasonable effort.

Clause 2.3 - Risk Categorisation

Every customer shall be assigned a risk rating of Low, Medium or High at onboarding, based on customer type, geography, product and delivery channel. The rating must be recorded in the core banking system before the account is activated.

Clause 2.4 - Examples of High-Risk Customers

High risk includes: PEPs; non-resident customers; trusts, charities and NGOs receiving foreign donations; companies with nominee shareholders or bearer shares; dealers in precious metals and stones; real-estate agents; customers from jurisdictions on the FATF list of high-risk jurisdictions; and customers whose source of wealth cannot be corroborated.

Clause 2.5 - Examples of Low-Risk Customers

Low risk includes salaried employees with structured salary accounts, government departments and government-owned companies, regulated entities, and customers whose net worth and transaction volumes are small and transparent.

3. Customer Identification Procedure (CIP)

Clause 3.1 - Officially Valid Documents (OVD)

For individuals, the Bank accepts the following OVDs: passport, driving licence, proof of possession of Aadhaar number, voter's identity card, NREGA job card and a letter issued by the National Population Register. The PAN or Form 60 must additionally be obtained for every account.

Clause 3.2 - Address Proof

If the OVD does not carry the current address, the customer may submit a utility bill (not older than two months), property or municipal tax receipt, or a pension payment order as deemed address proof. The customer must update the current address within three months of submitting a deemed OVD.

Clause 3.3 - Individual Customers - Mandatory Data

Full name, date of birth, residential address, PAN/Form 60, mobile number, occupation, annual income band, and a recent photograph are mandatory for every individual customer.

Clause 3.4 - Legal Entities - Mandatory Documents

For companies: certificate of incorporation, memorandum and articles of association, PAN of the company, board resolution authorising the account, and OVDs of the authorised signatories. For partnership firms: registration certificate, partnership deed, PAN, and OVDs of partners and signatories.

Clause 3.5 - Beneficial Ownership - Companies

For a company, the beneficial owner is any natural person who, alone or with others, holds a controlling ownership interest of more than 10 percent of shares or capital, or exercises control through other means. Where no person meets this threshold, the senior managing official shall be treated as the beneficial owner.

Clause 3.6 - Beneficial Ownership - Partnerships and Trusts

For a partnership firm, the BO is any natural person with more than 15 percent entitlement to capital or profits. For a trust, the Bank must identify the settlor, trustees, protector and beneficiaries, and any natural person exercising ultimate effective control.

Clause 3.7 - Video-based Customer Identification (V-CIP)

V-CIP may be used for new individual customers, subject to: a live, geo-tagged and time-stamped session conducted by a trained Bank official; matching of the live photograph with the OVD photograph; a recording stored for at least five years; and an operating-hours window between 09:00 and 21:00 local time. V-CIP is not permitted for PEPs or high-risk customers.

Clause 3.8 - Small Accounts

A 'Small Account' may be opened with a self-attested photograph and signature before a Bank official where the customer has no OVD. Balance shall not exceed INR 50,000 at any time, total credits in a year shall not exceed INR 1,00,000, and the account must be converted to a regular account within 12 months.

4. Customer Due Diligence (CDD)

Clause 4.1 - Standard CDD

Standard CDD comprises identity verification, address verification, collection of occupation and income details, screening against sanctions and adverse-media lists, and risk categorisation. It applies to all Low and Medium risk customers.

Clause 4.2 - Enhanced Due Diligence (EDD)

EDD applies to every High-risk customer and comprises: senior management approval, independent verification of source of funds and source of wealth, collection of two additional corroborating documents, a site visit or video verification where practical, and a documented rationale held on file.

Clause 4.3 - Politically Exposed Persons

Onboarding a PEP, or continuing a relationship where an existing customer becomes a PEP, requires approval from the Business Head and concurrence from the Principal Officer. The Bank shall establish the source of wealth and source of funds, and shall conduct enhanced ongoing monitoring of the account.

Clause 4.4 - Non-Face-to-Face Customers

Where the customer is not physically present, the Bank must apply certification of documents by a regulated entity or embassy official, or use V-CIP, and shall place the first transaction as a credit from an account held with another regulated bank in the customer's name.

Clause 4.5 - Simplified Due Diligence (SDD)

SDD may be applied to Low-risk customers who are unable to produce standard OVDs, limited to the identity documents listed in the Small Account provisions of clause 3.8. SDD is not available where suspicion of money laundering exists.

Clause 4.6 - Reliance on Third Parties

The Bank may rely on CDD performed by a third party only if the third party is regulated and supervised, has measures in place for CDD and record-keeping, and immediately provides CDD records on request. The ultimate responsibility for CDD remains with the Bank.

Clause 4.7 - Correspondent Banking

Before establishing a correspondent relationship, the Bank shall gather information on the respondent bank's ownership, management, regulatory status, AML controls and any adverse enforcement history. Approval is required from the Board-designated committee. Relationships with shell banks are prohibited.

5. Ongoing Monitoring and Periodic Updation

Clause 5.1 - Periodic KYC Updation Frequency

KYC records must be refreshed at least once every 2 years for High-risk customers, once every 8 years for Medium-risk customers and once every 10 years for Low-risk customers, counted from the date of account opening or the last updation.

Clause 5.2 - Self-declaration for Updation

For Low-risk individuals with no change in KYC information, a self-declaration through registered email, mobile number, internet banking or mobile banking is sufficient. Where the address has changed, the new address must be verified through a deemed OVD within 30 days.

Clause 5.3 - Transaction Monitoring

The AML system shall run scenario-based monitoring across all accounts. Alerts must be assigned to an analyst within 1 business day. First-level review of alerts must be closed or escalated within 7 calendar days.

Clause 5.4 - Scenario Library

The Bank's minimum scenarios include: rapid movement of funds (in-and-out within 48 hours), structuring below reporting thresholds, high-value cash deposits inconsistent with profile, dormant-account reactivation followed by large transfers, round-tripping, and multiple unrelated third-party credits.

Clause 5.5 - Dormant and Inoperative Accounts

An account with no customer-induced transaction for 24 months is classified as inoperative. Reactivation requires fresh KYC verification and a tele-verification call to the registered number. Debit transactions are not permitted until completed.

Clause 5.6 - Name Screening

All customers, beneficial owners, directors and authorised signatories shall be screened against sanctions, PEP and adverse-media lists at onboarding and daily thereafter. Potential matches above a 85 percent fuzzy-match score require manual review.

6. Reporting Obligations

Clause 6.1 - Cash Transaction Report (CTR)

The Bank shall report to the Financial Intelligence Unit - India (FIU-IND) all cash transactions, including deposits and withdrawals, of INR 10 lakh or more, and all series of integrally connected cash transactions that together exceed INR 10 lakh in a month. CTRs are filed by the 15th day of the succeeding month.

Clause 6.2 - Suspicious Transaction Report (STR)

An STR shall be filed with FIU-IND within 7 working days of the Principal Officer arriving at a conclusion that a transaction or attempted transaction is suspicious. Reporting does not require a threshold, and attempted transactions must be reported even if not completed.

Clause 6.3 - Tipping-off Prohibition

Staff must not disclose to the customer or any third party that an STR has been or is being filed, or that an internal alert is under review. Breach is a disciplinary offence and may attract statutory penalties.

Clause 6.4 - Cross-border Wire Transfer Report

Cross-border wire transfers of more than INR 5 lakh, or the equivalent in foreign currency, shall be reported to FIU-IND by the 15th of the succeeding month, along with originator and beneficiary details.

Clause 6.5 - Counterfeit Currency Report (CCR)

Every incidence of detected counterfeit currency notes shall be reported through the CCR by the 15th of the succeeding month, with a copy of the Fake Note Detection Report retained at the branch.

Clause 6.6 - Record Retention

Customer identification records and account files shall be retained for at least 5 years after the business relationship has ended. Transaction records shall be retained for at least 5 years from the date of the transaction. Records relating to filed STRs shall be retained for 5 years from the date of filing.

7. Governance, Training and Penalties

Clause 7.1 - Principal Officer and Designated Director

The Bank shall maintain a Designated Director and a Principal Officer, both of whom shall be communicated to FIU-IND and the regulator. Changes must be intimated within 15 days.

Clause 7.2 - Employee Screening and Training

All new employees in customer-facing and operations roles shall be screened at hire. AML/KYC training shall be completed within 30 days of joining and refreshed annually. Completion of training is a precondition for access to onboarding systems.

Clause 7.3 - Exceptions and Waivers

No KYC exception may be granted at branch level. Exceptions require written approval from the Principal Officer and are reported quarterly to the Audit Committee. Waivers are never permitted for sanctions screening or BO identification.

Clause 7.4 - Internal Audit and Independent Testing

Internal Audit shall test KYC file quality on a sample basis of not less than 5 percent of accounts opened in the quarter, with a minimum of 25 files per branch. Findings with a deficiency rate above 10 percent must be escalated to the CCO.

Annexure A - Risk Categorisation Matrix

Factor	Low	Medium	High
Customer type	Salaried, government, regulated entity	Self-employed, partnership, private company	PEP, trust/NGO, nominee structures, cash-intensive business
Geography	Resident, domestic	Resident with foreign remittances	Non-resident, FATF high-risk jurisdictions
Product	Salary / basic savings	Current account, term deposits	Trade finance, correspondent banking, private banking
Channel	Branch, face-to-face	V-CIP, digital	Introduced by third party, non-face-to-face without V-CIP
Review frequency	Every 10 years	Every 8 years	Every 2 years

Annexure B - Revision History

Version	Date	Change
4.0	1 Apr 2024	Full rewrite aligned to updated regulatory directions
4.1	1 Oct 2025	Added V-CIP operating window; clarified BO threshold for companies
4.2	1 Apr 2026	Revised STR timeline wording; added Annexure A